WRSX

GLOBAL ADVERTISING & MARKETING COMMUNICATIONS

WRSX BUSINESS REPORT

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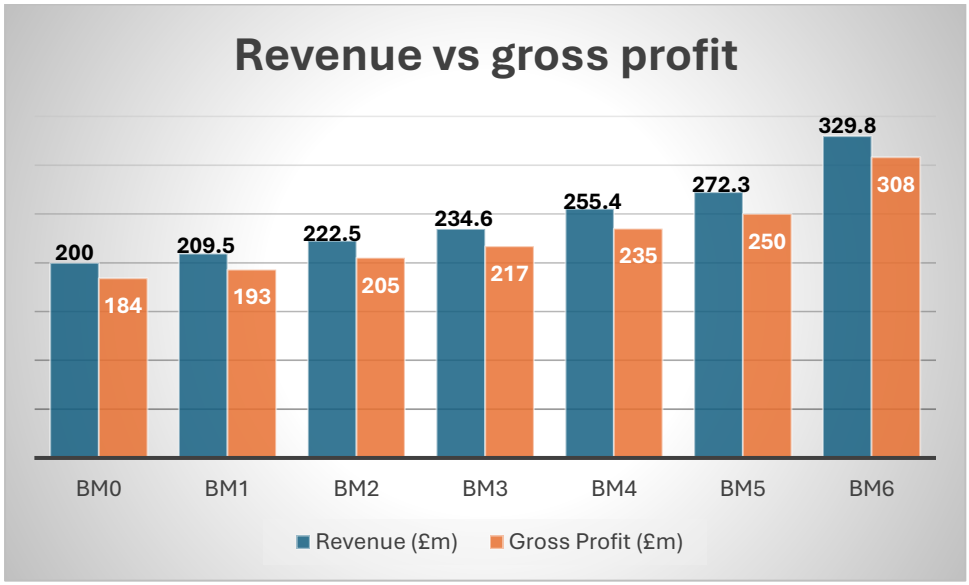
Introduction:

WRSX is a global advertising and communication company that was established following a merger of three agencies. The company specialises in selling its products as well as services to business clients around the globe. It has its major offices in New York, Paris, London and Singapore. The company is now well established, but like most businesses in competitive markets, it's faced with a wide range of strategic issues that prevented its growth and stability. At present WRSX cannot successfully capture the opportunities present in the advertising and communication industry. So WRSX is faced with a trend of rising operational costs and competition, and the costs have been experienced largely because of the diversified operational styles accompanied by the rising costs of retaining talent. Some of the issues presented, such as the corruption scandal and corporate governance issues, have affected the reputation of WRSX.

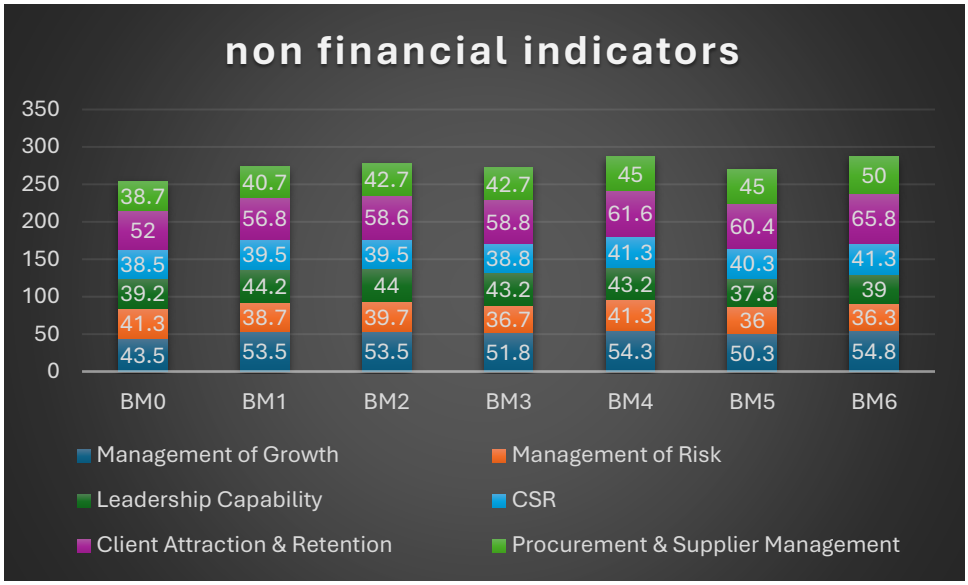
Performance of WRSX:

Financial indicator:



Starting from BM1 WRSX has actually performed well but on the third meeting there was a sudden decline in the trend line because of the decisions made such as launching Cine FX in London changing the organisational structure made quite a problem for the management as a PBIT fell to its lowest 13.3% and all other non-financial indicator are declined during this period. After the decisions made from BM3 the company saw a good increase in the revenue and all other financial and non-financial indicators.

Non financial indicators:



The non-financial indicators show mixed but important progress. Client retention improved steadily, showing that our growth and digital focus strengthened relationships. However, leadership capability and risk management declined during expansion, indicating internal pressure. CSR and procurement improved later, showing better governance and cost control as our strategy became more balanced and stable.

Q1. Evaluate the main reasons for the differences between your group's WRSX business plan forecasts and the actual performance during Phase 3.

A comparison of our original business plan forecasts and the actual performance from BM1 to BM6 shows that the key difference was timing, sequence, and execution rather than direction. Revenue growth significantly exceeded our expectations, but profitability and risk management faced challenges due to overextension and structural misalignment. Revenue increased from £200m in BM0 to £329.8m in BM6, exceeding our projected growth path. This indicates that our strategic goals, particularly in digital investment (BM1), client retention (BM2), launching Cine FX (BM3), forming a strategic alliance in India (BM4), acquiring on the West Coast (BM5), and expanding into Asia (BM6), successfully enhanced our market position and client acquisition. The strong revenue performance shows that our market strategy was effective. However, profitability did not follow the same steady path. The PBIT margin dropped from 16.5% in BM0 to 13.3% in BM3 before recovering to 17.6% in BM6. The main reason for this difference was the heavy concentration of major initiatives over a short time. In BM3, we launched Cine FX, changed our organizational structure, explored backward integration, and attempted cost restructuring. From a management perspective, this meant poor sequencing of changes. Instead of consolidating our capabilities before expanding, we started

multiple transformation efforts at once. The temporary spike in the staff cost ratio, which peaked at 64.5% in BM1, shows that we focused on building capabilities before achieving operational efficiency. While our investment in AI and digital talent strengthened our long-term competitive edge, we underestimated the short-term financial impact in our forecasts. Our business plan expected integration benefits to occur faster than was realistic. Another major difference was in risk management. While our forecasts anticipated steady improvement across non-financial KPIs, the Management of Risk index declined by BM6. This indicates that growth outpaced our ability to manage it. In hindsight, our planning model treated growth and control as improvements that could happen simultaneously, even though they often move in opposite directions during rapid expansion. Performance improved significantly from BM4 onward. We reduced the staff cost ratio to 57.1% by BM6 through cost rationalization, better procurement with group buying power, and improved integration of acquisitions. This shows that once we realigned internally, our strategic model became more balanced. Overall, the differences between forecast and actual performance were more about overly optimistic assumptions regarding integration speed, organizational readiness, and cost absorption rather than a flawed strategic direction. Our strategy was commercially viable, but we initially lacked execution discipline and proper pacing of risks. This experience highlights the need for careful sequencing of strategies, assessing organizational capacity, and aligning growth initiatives with governance capabilities.

Q2. In relation to the analysis and decisions made at your chosen business model (BM), discuss how and why academic models and frameworks for strategic management apply to the WRSX decision-making process. Include various agenda items and action options, along with specific examples of the relevant models and frameworks.

In BM5, we talked about employment policies, renegotiating agency income models, making a key strategic appointment at an underperforming subsidiary, the West Coast acquisition, and business integration. Strategic management models clearly explain these decisions. First, Porter's Five Forces clarifies why clients needed to renegotiate agency income models. The bargaining power of buyers grew as clients sought measurable ROI and more value from agencies. This pressure affected margins and pushed us to rethink our pricing structure. By revising our income model, we responded directly to competitive pressure. Second, we can use Ansoff's matrix to explain the West Coast acquisition. This move was about market development and diversification since we were expanding geographically and boosting our digital capabilities. It helped increase revenue and provided access to new clients in the US market. However, Ansoff also indicates that diversification has high risks, which is why integration became an important agenda item. Third, the resource-based view (RBV) sheds light on our decision to make a key strategic appointment in the underperforming subsidiary. RBV argues that competitive advantage stems from valuable and rare internal resources, including leadership

talent. By bringing in stronger leadership, we improved our internal capability, which enhanced long-term performance. The discussion about becoming an employer of choice also connects to RBV and human capital theory. Skilled digital employees are essential in a technology-driven industry, so improving employment policies supports our digital differentiation strategy. Additionally, the integration debate relates to organizational design theory. Too much autonomy can reduce control, while too much centralization can limit flexibility. Our decision to balance integration while keeping some independence reflects a matrix structure approach. This supports global coordination while allowing for local responsiveness. Overall, the decisions from BM5 demonstrate how academic models guide real-world decisions. Five Forces explained margin pressure, Ansoff provided a framework for expansion, RBV justified investment in leadership and talent, and organizational theory assisted with integration. These frameworks were not just theoretical but directly relevant to our analysis of risk, growth, and long-term sustainability

Q3. Give a reflective analysis of your group's decision-making process over the course of the six WRSX board meetings (TSE Phase 3). Include an evaluation of how it might have been more effective and the extent to which your group's strategy was 'emergent'.

Looking back at all six board meetings, I can see that our decision-making process changed and developed over time. In the beginning, especially in BM1 and BM2, we focused heavily on growth and major strategic moves. We chose agenda items such as entering China, investing in AI, improving sustainability, enhancing client retention, and considering acquisitions. At that stage, our thinking was ambitious and future-oriented. We wanted WRSX to move quickly into digital and global markets. However, we did not always consider the short-term financial impact or the pressure it would create internally. Heavy investments in AI and expansion increased costs, which affected our PBIT margin in the early meetings. This shows that our early decisions were bold but not always balanced.In BM3, our decision-making became even more complex. We decided to launch CineFX, explore Asian SME opportunities, consider backward integration, and change the organizational structure. Looking back, this may have been too many major changes at once. As a group, we were excited about growth and competitive positioning, but we did not seriously challenge whether the organization was ready for so much change. This is where I felt our group could have been more effective. We should have discussed risk management more deeply and linked each decision clearly to financial and non-financial KPIs before approving it. Because of this, PBIT dropped to 13.3%, and the staff cost ratio remained high. This period shows that we sometimes focused more on opportunity than on operational stability.From BM4 onwards, I think our decision-making improved. When competitor pressure reduced margins in the market insights business, we began to pay more attention to cost control and governance. We chose agenda items like rationalization, strategic alliances in India, corporate governance, and social impact. This shows that our thinking became more balanced. We were no

longer only focused on expansion but also on protecting profitability and reputation. The decision to cut costs and improve efficiency helped reduce the staff cost ratio in later meetings. This demonstrates that we learned from our mistakes.

In BM5, our discussions became more strategic and structured. We addressed employment policies, renegotiation of agency income models, the West Coast acquisition, and business integration. At this stage, we started linking human resources, structure, and financial outcomes more clearly. However, one weakness in our group process was that sometimes stronger personalities influenced decisions more than detailed data analysis. We did use performance data, but we could have spent more time on a detailed analysis. We could have also focused more on enhancing leadership capability and corporate social responsibility.

In BM6, our strategy became clearer and more mature. We discussed becoming a target for acquisition, institutional shareholders, raising capital, and focusing on Asian brands expanding globally. At this stage, our decision-making was more aligned with long-term positioning. Financial performance improved significantly, with PBIT rising to 17.6% and revenue reaching £329.8m. This shows that over time we became more disciplined and focused.

conclusion:

In conclusion, across the six board meetings our strategy evolved from aggressive expansion to a more balanced and focused direction. Although we faced pressure on margins and integration challenges, we adapted and improved both financial and non-financial performance by BM6. Our final positioning reflects elements of Blue Ocean Strategy, as we aimed to move away from intense price competition and instead create new value through digital capability, AI investment, and focus on Asian growth markets. By combining differentiation with better cost control, we tried to create our own competitive space rather than competing only in a crowded traditional agency market.

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